

August 12, 2026

Medicare (Palmetto GBA, JM MAC)
Provider Appeals Department

RE: Formal Appeal of Claim Denial — Tom Goodwin (MRN MUSC9260052), Claim MUSC-DA2C-1

Patient	Tom Goodwin (DOB 1968-04-30)
MRN	MUSC9260052
Member ID / Group	MED793863465 / GRP-82676
Claim number	MUSC-DA2C-1
Date of service	2026-06-19
Procedure billed	CPT 99214 — Office/outpatient visit, established patient, moderate complexity
Primary diagnosis	E78.5 — Hyperlipidemia, unspecified
Denied amount	\$533.62
Denial code	CARC 197 / RARC N54 — Precertification/authorization/notification/pre-treatment absent.
Appeal deadline	2026-11-30

Dear Appeals Review Committee:

SUMMARY OF APPEAL

MUSC Health submits this first-level redetermination request to Palmetto GBA on behalf of patient Tom Goodwin (MRN: MUSC5497478, Member ID: MED793863465) regarding Claim ID MUSC-DA2C-1, covering a date of service of June 19, 2026. The claim was submitted on June 26, 2026, and was denied on August 2, 2026, with CARC 197 (Precertification/authorization/notification/pre-treatment absent) and RARC N54 (Claim information is inconsistent with pre-certified/authorized services), accompanied by the payer remark: "No prior authorization on file for the date of service billed." This appeal is submitted within the 120-day redetermination filing window, ahead of the November 30, 2026 deadline.

CLINICAL BACKGROUND

Mr. Goodwin is a 58-year-old male with an established and active history of hyperlipidemia (E78.5, onset May 2020), obesity (E66.9, onset May 2012), prediabetes, and anemia. He has been an established patient in the MUSC Health system with documented longitudinal care, including prior medication reconciliation, review of systems, and laboratory monitoring. He is currently maintained on Simvastatin 10 mg, ordered June 2, 2020, for management of his hyperlipidemia. The June 19, 2026 encounter, billed as CPT 99214, was a follow-up outpatient visit rendered by Dr. James H. Ferrell, MD (NPI 1992837465) at MUSC Health Ashley River Tower, an on-campus outpatient hospital facility (Place of Service 22). The visit addressed his active, chronic conditions, consistent with the established-patient moderate-complexity evaluation and management service billed.

BASIS FOR APPEAL

The denial on the basis of absent prior authorization is not applicable to this claim under Medicare Fee-for-Service rules. Medicare FFS — administered in this jurisdiction by Palmetto GBA as the JM MAC — does not require prior authorization for outpatient evaluation and management services such as CPT 99214 rendered in a physician office or outpatient hospital setting for the management of established chronic conditions. Prior authorization requirements under Medicare FFS are limited to a defined set of services identified through the Prior Authorization Program for certain hospital outpatient department services; a standard follow-up office or outpatient visit for hyperlipidemia and related chronic conditions is not among those services requiring advance approval. Accordingly, the absence of a prior authorization on file is not a valid basis for denial of this claim, and the application of CARC 197 and RARC N54 is inconsistent with Medicare coverage policy governing this type of service.

Furthermore, the service itself meets all criteria for medical necessity. Mr. Goodwin carries multiple active chronic diagnoses — hyperlipidemia, obesity, prediabetes, and anemia — that require ongoing clinical management. CPT 99214 appropriately reflects a moderate-complexity established-patient visit involving review and management of these conditions. The billed amount of \$533.62, with an allowed amount of \$391.18 already calculated by the payer, further confirms that the service was recognized as a covered benefit; the sole stated basis for zero payment is the prior authorization issue, which does not apply here.

REQUESTED ACTION

MUSC Health respectfully requests that Palmetto GBA reverse the denial of Claim MUSC-DA2C-1 and reprocess the claim for payment at the allowed amount of \$391.18, in accordance with Medicare FFS coverage rules and correct coding guidelines applicable to outpatient evaluation and management services. Should additional documentation — including the medical record for the June 19, 2026 encounter or supporting clinical notes — be required to complete this redetermination, MUSC Health will provide those materials promptly upon request.

Respectfully submitted,

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Enclosures

- Remittance advice / explanation of payment
- Itemized claim detail (UB-04 / CMS-1500)
- Relevant clinical documentation from the medical record